

INTERNATIONAL RELATIONS



GULF COOPERATION COUNCIL (GCC) AND INDIA

MODULE - 52

- 1 The Gulf Cooperation Council (GCC) is a regional intergovernmental political and economic union consisting of all Arab states of the Persian Gulf except Iraq.
- 2 Its member states are Bahrain, Kuwait, Oman, Qatar, Saudi Arabia and the United Arab Emirates.
- 3 GCC as a collective entity has tremendous significance for India.
- 4 The Gulf constitutes the “immediate” neighbourhood of India separated only by the Arabian Sea.

- 5 India, therefore, has a vital stake in the stability, security and economic well-being of the Gulf.



BACKGROUND AND OBJECTIVES OF GCC

- The Charter of the Gulf Cooperation Council was signed on 25 May 1981, formally establishing the institution.
- The GCC Charter states that the basic objectives are to

- 1 have coordination, integration and inter-connection between Member States in all fields
- 2 strengthening ties between their peoples
- 3 formulating similar regulations in various fields such as economy, finance, trade, customs, tourism, legislation, administration



BACKGROUND AND OBJECTIVES OF GCC

4 fostering scientific and technical progress in industry, mining, agriculture, water and animal resources, establishing scientific research centres

5 setting up joint ventures,

6 encouraging cooperation of the private sector.

- As a group, the GCC has been increasingly determining the economy, political and security policies of its member States.
- The GCC countries are moving ahead rapidly with their economic integration efforts.



ORGANISATION STRUCTURE

- The structure of the GCC consists of the Supreme Council, the Ministerial Council and the Secretariat General.

1. SECRETARIAT

- 1 The Secretariat is located in the city of Riyadh.
- 2 The constitution of the GCC precisely reflected the importance of seeking ways to make the unity of Arab States a reality.

- 3 The constitution required the organisation to provide “the means for realising coordination, integration and cooperation” in economic, social and cultural affairs.



ORGANISATION STRUCTURE

2. SUPREME COUNCIL

- 1 Supreme Council (the highest authority of the GCC) comprises the Heads of State of the six member countries.
- 2 The Supreme Council meets once a year in ordinary session.
- 3 Emergency sessions can be convened at any time by the heads of any two Member States.



ORGANISATION STRUCTURE

2. SUPREME COUNCIL

- 4 The chairmanship of the Supreme Council is held by each Member State in turn.
- 5 Resolutions are carried by majority vote.
- 6 The Supreme Council is responsible for determining the overall policy of the GCC and for ratifying recommendations presented to it by the Ministerial Council or the Secretariat General



ORGANISATION STRUCTURE

3. MINISTERIAL COUNCIL

- 1 Ministerial Council comprises the Foreign Ministers of the six member countries.
- 2 The Ministerial Council meets once every three months in ordinary session.
- 3 Emergency sessions can be convened at any time by the Foreign Ministers of any two Member States.
- 4 The Ministerial Council draws up policies and makes recommendations on means of developing cooperation and coordination amongst member states in the economic, social and cultural spheres.



ORGANISATION STRUCTURE

3. MINISTERIAL COUNCIL

- 5 Secretariat General prepares reports, studies, accounts and budgets for the GCC.
- 6 It drafts rules and regulations and is charged with the responsibility of assisting Member States in the implementation of decisions adopted by the Supreme and Ministerial Councils.
- 7 The Secretary General is appointed for a three-year term (renewable) by the Supreme Council on the recommendation of the Ministerial Council.



MODERN RELATIONS

- 1 India's relationship with its largest regional trading partner has evolved into security and defence cooperation.
- 2 When Indian Prime Minister Modi firmly placed the Indo-Pacific region at the heart of India's engagement with the world at the IISS Shangri-La dialogue in Singapore in May 2018, he was also referring to the Gulf region.
- 3 India's historical connection with the Gulf dates back more than five thousand years, to trading between the ancient civilisations of the Indus Valley and the Dilmun (linked with present-day Bahrain).



MODERN RELATIONS

- 4 British India's imperial interests in the Gulf were determined, pursued and administered from Bombay Presidency.
- 5 The Indian rupee was legal tender in Kuwait, Bahrain, Qatar, Oman and the Trucial states now the United Arab Emirates until the early 1960s.
- 6 Today, the Gulf is an integral part of India's 'extended neighbourhood', both by way of geographical proximity and as an area of expanded interests and growing Indian influence.



STRATEGIC RELATIONS

- 1 India's 'strategic partnerships' with Gulf countries on cooperation on issues such as counter-terrorism, money laundering, cyber security, organised crime, human trafficking and anti-piracy.
- 2 India's relations with the Gulf encompass defence and naval cooperation, including joint exercises, regular Indian ship visits and broad-based MoUs.
- 3 Gulf armed-forces personnel are also trained in Indian defence and military academies. All the Gulf states are members of the Indian Navy-conceived Indian Ocean Naval Symposium (IONS), which was established in 2008 as a biennial forum for navy chiefs of the Indian Ocean littoral.
- 4 India has also played an active role in enhancing the stability and security of the Gulf's sea lanes through its participation in anti-piracy patrols off the coast of Somalia



STRATEGIC RELATIONS

5 The 'Delhi Declaration' signed during Saudi King Abdullah's visit to India in 2006 established a joint Saudi-Indian focus on counter-terrorism, and was followed by the 'Riyadh Declaration' signed in February 2010, which confirmed the upgrade in relations to a 'strategic partnership', and strengthened defence cooperation.

6 A Saudi-Indian extradition treaty and an agreement for the transfer of sentenced persons has also been signed.

7 After considerable effort by India's intelligence agencies, Indian national Zabiuddin Ansari, also known as Abu Jundal, the alleged 'handler' of the ten terrorists involved in the 2008 Mumbai terror attacks, was deported from Saudi Arabia in June 2012.



ECONOMIC AND COMMERCIAL RELATIONS

Gulf region plays a crucial role in our energy security and pace of economic growth.

1 The GCC is India's largest regional-bloc trading partner, which accounted for \$104 billion of trade in 2017-18, nearly a 7% increase from \$97 billion the previous year.

2 Around 40% of India's crude oil import is met from GCC countries.

3 India has successfully bid for oil blocks in Qatar and Oman.

4 Efforts are ongoing to set up joint ventures in downstream petrochemicals, fertiliser and energy intensive industries in the GCC countries and in India.

5 The GCC also provided over \$37 billion in foreign-exchange remittances from Indian expatriates in 2017, accounting for over 54 % of India's total foreign remittances.



ECONOMIC AND COMMERCIAL RELATIONS

- 6 With increasing economic and international profile of India, the engagement with the Gulf is on the rise.
- 7 In spite of these engagements, **India-GCC Free Trade Agreement** has not materialized.
- 8 A framework agreement on economic cooperation was signed in August 2004. The Gulf countries provide an excellent **market potential for India's manufactured goods and services, especially in project services exports**. The trade and investment flows between the two have increased substantially.
- 9 The Gulf states are engaged in economic development and modernisation programme, which has created a **demand in GCC States for skilled manpower and labour**. India, with its surplus manpower resources is a major source of supply.



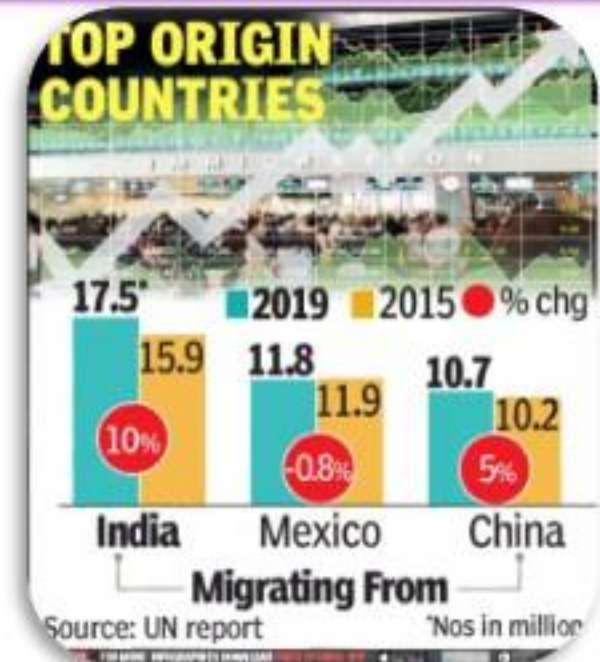
DIASPORA

1 Indian nationals make up the Gulf states' largest expatriate community, with an estimated 7.6 million Indian nationals living and working in the region; especially in Saudi Arabia (2.8 million) and the UAE (2.6 million).

2 Indians are more than the local population in the UAE and Qatar.

3 The safety and security of these Indian nationals are a key priority for the Modi government.

4 In the past, thousands of Indian expatriates have had to be evacuated from conflict-prone Iraq, Kuwait and Yemen.



WHY LOOK WEST?

- Several factors that contributed to the shift in strategic thinking are:

- 1 The structural change in the Global energy market with West Asian oil and gas increasing the demand for south and East Asian markets.
- 2 The physical stress faced by the transatlantic colonies is making West Asia look to India and other Asian powers to step in and offer security guarantees to the region.

- 3 In the wake of the Arab Spring and security issues in Egypt and Iraq, the Gulf States find India and China to be more reliable interlocutors than Western States.

- 4 The pressure from radical and extremist political forces within West Asia is drawing the region closer to the Indian principle of seeking and securing regional stability.



LOOK WEST POLICY

- 1 India's Look West policy was unveiled in the India-UAE joint statement when Prime Minister Modi visited United Arab Emirates in August 2015.
- 2 This was followed by Prime Minister Singh visit to Riyadh and the signing of the India Saudi defence cooperation agreement. This has set the stage for wider engagement at a strategic level with other states of the Gulf Cooperation Council
- 3 In order to actively pursue its strategic interests in the West, India launched the Look West policy.
- 4 The geographical conception of West Asia has significantly expanded since the collapse of Soviet Union and is now called the "Greater Middle East".



IMPORTANCE OF GULF REGION FOR INDIA

- 1 It includes the four corners of Northern Africa and independent republics is Central Asia and Caucasus.
- 2 This region shares a long historical association with India.
- 3 It is the source of India's ever-expanding energy needs.
- 4 It also has a huge market for Indian goods, services and skilled manpower.
- 5 The region witnesses political modernisation and religious extremism.

COMPLAINTS REGISTERED BY INDIAN WORKERS IN GULF COUNTRIES

Company	Number of complaints*
Saudi Arabia	27,875
Kuwait	14,332
Oman	11,747
Qatar	10,778
UAE	9,745
Bahrain	2,669
Total	77,155

* Between 2016 and June 2019

Source: Ministry of External Affairs' response to a query in the Lok Sabha on July 17, 2019

INDIA- GCC FTA

- 1 India and GCC signed a Framework Agreement for enhancing and developing economic cooperation between the two sides in New Delhi in August 2004.
- 2 Two rounds of talks for finalising aspects like tariff rules, rules of origin, etc. have been held. The India-GCC FTA is under negotiation.

India's trade with GCC countries
(All figures in US \$ million)

Country	2011-12			2012-13		
	Import	Export	Total	Import	Export	Total
KSA	31,817.70	5,683.29	37,500.99	33,998.11	9,785.78	43,783.89
UAE	36,756.32	35,925.52	72,681.84	39,138.36	36,316.65	75,455.01
Oman	3,345.94	1,322.13	4,668.07	2,009.72	2,599.49	4,609.21
Kuwait	16,439.64	1,181.41	17,621.05	16,588.13	1,061.08	17,649.21
Qatar	12,916.35	807.95	13,724.30	15,693.08	687.18	16,380.26
Bahrain	905.98	439.99	1,345.97	664.66	603.47	1,268.13
Total	102,181.93	45,360.29	147,542.22	108,092.06	51,053.65	159,145.71

CHALLENGES IN THE RELATIONSHIP

- 1 At the IISS Manama Dialogue in Bahrain in December 2017, India's Minister of State for External Affairs noted the four key parameters of India's relations with the Gulf as being non-descriptive, non-intrusive, non-judgmental and not taking sides in intra-regional disputes.
- 2 This enables India to simultaneously have close relations with both Iran and Saudi Arabia, Israel and Palestine, and Qatar and Saudi Arabia/UAE/Bahrain.



CHALLENGES IN THE RELATIONSHIP

3 However, a key challenge for India in relation to the Gulf will be to maintain its relationship with Iran amidst US's administration sanctions. India has traditionally aimed to maintain good relations with Iran considering India's substantial Shia Muslim minority.

4 During these times of uncertainty and faltering alliances, the Gulf Cooperation Council (GCC) has been left in a conundrum.



CHALLENGES IN THE RELATIONSHIP

5 The perceived diminishing role of the US in the region has left the GCC contemplating new partnerships to help secure its own safety.

6 These troubles provide a country like India with the opportunity to expand its role as a strategic and military partner in the region.

7 The GCC can and should use to its advantage the shared interests between India and the US to further strengthen stability in the region and secure oil transit routes.

8 One of the biggest and most positive aspects of this old friendship is the fact that unlike western nations, India has never sought to dominate or forcefully intervene in the local politics of the GCC and till today continues to maintain a non-intrusive policy.



WAY FORWARD

- 1 Political instability in Middle east can affect India's rising energy needs, either through a rise in energy prices or affecting energy flows.
- 2 It can also impact on the millions of Indian expatriates living in the GCC, either by being forced to return home or by being affected directly as victims. India should use its relationship with Iran to increase stability and perhaps even play the role of a mediator between the GCC and Tehran.

- 3 The growing insecurity in the area surrounding India, Middle East, Arabian and Indian oceans prompts a higher level of cooperation on issues such as piracy, terrorism, maritime terrorism and safety of supply lines.



WAY FORWARD

4 Indian government is trying to balance relations with countries of the Middle East- from declaring friendship with Israel to seeking better relations with Iran and cementing a good relationship with the GCC States

5 Look East policy succeeded because Southeast Asia began to “Look West” to India seeking a balancer to China.

6 At the same time GCC is also looking East and strengthening India's engagement with West Asia.



WAY FORWARD

7 In the changing post-Cold War geo-political environment and converging security landscape, India has become strategically important for the Gulf countries as a major geo-political player.

8 India seeks to promote energy security partnerships in the Gulf and to reach out to the market there.

9 It's sought to develop a special relationship with Iran and enhance its role in Afghanistan.

10 The unending political rivalry and military tension with Pakistan better India to make a strategic breakthrough in the greater Middle East.



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